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WeRide Inc. · 31 turns · 11 participants

CAST (IN ORDER OF APPEARANCE)

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Conference Call Operator

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Corporate Presentation

OPERATOR Conference Call Operator

Good morning and good evening, ladies and gentlemen. Thank you for standing by and welcome to WeRide's first quarter 2026 earnings conference call. Please note that today's event is being recorded. At this time, all participants are in listen-only mode. For today's call, management will use English as the main language. A third party interpreter will provide a simultaneous Chinese interpretation. The company will host a question and answer session after the management's prepared remarks. If you wish to listen to the management's original statement or ask a question during the question and answer session, please make sure you are dialed into the English line. Please note that the Chinese interpretation is for convenience purpose only. In the case of any discrepancy, management statements in the original language will be prevailed. Joining us today, WeRise founder, chairman and CEO, Dr. Tony Han and CFO, and Head of International, Ms. Jennifer Lee. Before we continue, I would like to refer you to the Safe Harbor Statement and the company's earnings press release, which also applies to the call as today's call will include four looking statements, including We Ride's strategy and future plans. These four looking statements are made under the Safe Harbor provision of the U.S. Private Security Legislation Reform Act of 1995, forward-looking statements involving her to risk and uncertainties. The company's actual results could differ materially from those stated or implied by those forward-looking statements as a result of various important factors. And please refer to this risk factor section of the company's form 20F filed with the SEC and announcements on the website of the Hong Kong Stock Exchange for full closure of these risk factors. the company does not assume any obligations to update any forward-looking statements except as required under application law. Please note that all numbers stated in the management's prepared remarks are RMB terms and will be discussed in non-FRS measures today, which are more thoroughly explained and require the most comparable measures reported in the company's earnings release and filings of the SSE and the Hong Kong Stock Exchange. The company's An auditor financial and operating results are released earlier today via Newswire and can be found on the company's IR website. With that, I will now begin the company's video presentation.

VIDEO NARRATOR Corporate Presentation as a global leader in autonomous driving. WeRide operates one of the world's largest commercial robotaxi fleets with over six years of public service. In China, our service is available not only through our WeRide Go app, but also via WeRide Go WeChat Mini program, Tencent Mobility WeChat Mini program, and AMAP, bringing autonomous driving into users' everyday lives. Our international footprint spans the Middle East, Europe, and Asia. In Abu Dhabi, we now provide driverless commercial robotaxi service, covering 70% of the city's core area. We expanded this leadership further with the launch of fully driverless robotaxi services in Dubai in March. We also launched robotaxi public operations in Riyadh in October 2025. In April, in partnership with Grab, we launched Singapore's first autonomous public ride service in Punggol, bringing Robotaxi GXR service to residential communities. We are accelerating commercialization through key partnerships with Geely Farazan to deliver 2,000 purpose-built Robotaxi GXRs by 2026 and with Lenovo to jointly deploy 200,000 autonomous vehicles globally by 2030. Our technology is the foundation of our sustained leadership. WeRide is the only company that has commercialized both L2 Plus and L4 autonomous driving technology at scale, powered by shared underlying algorithms and our dual flywheel strategy. our self-developed general-purpose simulation world model. WeRide Genesis enables extensive training and close-loop validation in high-fidelity simulation environments at scale to continuously advance system intelligence. These unparalleled capabilities are distilled into WRD 3.0, our one-stage end-to-end ADAS solution, bringing proven L4 technology capabilities to mass-market L2++ vehicles. The Chery Exceed Stereo model equipped with WRD 3.0 has won four consecutive championships at the China Urban Intelligent Driving Competition, setting a historic record. WRD 3.0 has secured production design wins across nearly 30 vehicle models and is now in mass production across multiple models. including the Cherry XSEED STERA ESET, Cherry XSEED EX7, and GACA ION N60. WRD 3.0 now supports multi-chip compatibility across NVIDIA, Qualcomm, and SiEngine platforms, providing global automakers one of the most flexible high-performance L2++ solutions. Looking ahead, WeRide will continue to lead the way in advancing autonomous technology and making autonomous mobility a daily reality.

OPERATOR Conference Call Operator

> Now, I would like to pass the floor to the company's founder, chairman and CEO, Dr. Tony Han. Please go ahead, sir.

DR. TONY HAN Founder, Chairman and CEO

> Hello, everyone, and thank you for joining us today. We started 2026 with strong momentum as a global leader in autonomous driving. In the first quarter, the total revenue of WeRide reached RMB 114 million, 58% up year over year. These results are driven by our accelerating robo-taxi deployment. Growth across our broader autonomous driving business and the great success of our L2++ level ADA solution. By the end of April, our global robo-taxi fleet grew to around 1,300 vehicles, representing one of the largest robo-taxi fleets globally. At the same time, our level 4 autonomous driving fleet, including robo-van and robo-bus, has grown to around 2,800 units. that they have been deployed to or tested in 12 countries and over 40 cities worldwide. We believe the steady and significant progress this quarter reflects not only the maturity of our technology, but also the growing operational experience for thousands level fleet in multiple cities. First of all, I want to point out that we have made a major technical breakthrough through Genesys, our closed loop world model-based simulation engine, which boosted our model evolution pace by several folds. We can now train AI model for autonomous driving with synthesized corner cases, which may be very rare or even imaginary. With a compact AI model leveraged on our genesis, we have achieved four consecutive championships in China urban intelligent driving competition. This is unprecedented, The best previous record is held by Huawei AIDA system, which got two consecutive championships. Today, many companies talk about world model and simulation platforms, but WeRide is one of very few companies that have publicly demonstrated footage of a highly realistic autonomous driving world model at scale. We have already released Genesis demonstration video on YouTube, where viewers can check the model's ability to reconstruct and simulate visually

realistic driving environments strictly following physical laws as well. Genesis can generate holistic virtual driving environments consistent to the desired locations, including traffic laws, pedestrians, weather conditions, and complex interactions between vehicles and surrounding objects. More importantly, We can edit this environment component to simulate highly challenging scenarios, such as aggressive driving behavior, dense traffic, extreme weather, on Euro road conditions, and many other long tail corner cases that are very difficult and extremely expensive to replicate in the real world. By leveraging on synthetic data and large scale simulation, Genesys improves training and validation efficiency by thousands of times compared to traditional road testing. It also significantly reduces the crucial dependence on large-scale testing fleet and accelerates deployment process in new operational regions globally. Genesys is not just a capability. It is a unified simulation and AI training platform supporting applications from L2 ADAS to L4 robot taxi. And it is very same tech stack that makes us the only company in the world to have already achieved the skilled commercialization of both L4 and mass production L2 vehicles. The newly developed Genesis now has paved the way of rewrite to the physical AI world. With Genesis, The ADA system developed by WeRide is comparable to the performance of FSD 14.3 in California. You know, I personally own two Tesla and I drive 14.3 or with FSD 14.3 every day. I look forward to entering a global urban intelligent driving competition directly facing FSD 14.3 from Tesla. Hope one day we can meet in US or Europe and give our consumers a head to head comparison. Today, we are seeing our technology leadership translate into real global commercial scale. Let me walk you through the key operational and commercialization milestones we have achieved this quarter. First, in China, our robotics business continues to make strong progress in scale, operational efficiency, and commercialization tests. First, in China, our robot taxi business continued to make strong progress in scale and operational efficiency. By the end of April, our domestic robot taxi fleet expanded to about 1,000 vehicles, while our service area in Guangzhou increased by 97% compared to the end of 2025, including additional downtown districts. On the demand side, average daily order per vehicle domestically reached 17 trips during Q1, with peak periods reaching 28 trips per vehicle. Registered Robotaxi users also doubled almost every year. We believe these metrics continue to demonstrate growing user adoption and improving unit economics as Robotaxi commercialization scales. In this quarter, we also continue to deepen our partner ecosystem. In April, we extended our collaboration with Lenovo in autonomous driving computing platforms with a joint target to deploy 200,000 autonomous driving vehicles globally over the next five years. Together with Geely, for a reason, we plan to deliver 2,000 upgraded, purposely built RoboTaxi GXRs in 2026. We believe these partnerships further strengthen our manufacturing scalability and deployment capability globally. Now turning into international markets, we also continue to see strong momentum in both new market launches and the commercialization progress. In Singapore, we launched the country's first public autonomous driving service together with Grab. Since the initial deployment plan began in the second half of last year, the fleet has built a trustworthy operational track record in a highly regulated international market. In the Mideast, we have launched fully driverless commercial robot taxi operation in Dubai together with Uber and the Dubai's RTA. This is the city's first fully driverless commercial robot taxi service. Meanwhile, our service coverage expanded to around 70% of the city's core area. Across the Mideast, Together with Uber, we remain on track to deploy at least 1,200 robotaxi across Abu Dhabi, Dubai, and Riyadh by 2027. In Europe, we entered Slovakia in March, our fourth European market, and continue progressing toward fully driverless commercial operation in Zurich. Overall, we continue to believe WeRide remains the most globally deployed autonomous driving company today, with deployments across 12 countries and permits in eight markets. This global footprint not only diversifies our revenue, but also demonstrates operational and regulatory capabilities that are hard for followers to replicate. It also keeps us on track toward our long-term vision of deploying tens of thousands of RoboTaxi globally by 2030. Beyond RoboTaxi, our ADAS business is also seeing growing commercial traction. Our current version of ADAS system, WRD 3.0, has been adopted by nearly 30 vehicle models, including vehicles from leading OEMs such as GAC and Chery. In April, GAC ION launched presales for the ION N60 the first mass production vehicle with V-Ride solution. Leveraging the generalization capability of Genesis, our WRB 3.0 solution is now supporting three major chip platforms, NVIDIA Drive, Qualcomm Snapdragon, and the C-Engine Starlight. We believe this level of multi-chip compatibility is crucial because it enables faster mass production, greater cost optimization, and broader OEM adoption. At the same time, we continue expanding internationally with partners, including Tygo, Lappos, Omanda, Jayco, bringing WeWrite-powered ADS solution to consumer globally. Finally, for RoboPath, We also continue making progress globally. We are collaborating with the Geneva Public Transport Operator, TPG, on autonomous bus deployment. Meanwhile, we are preparing for the RoboBus operation with Renault at the Holland-Garhold branch open for the third consecutive year. To summarize, the first quarter of 2026 was about substantiating technology leadership of V-Ride into commercial scalability through growing robot taxi operations expansion into new international markets, growing deployment pipelines, or continued unrivaled winning momentum in ADAs. We believe we are executing well with our global strategy, and we continue to see a clear path toward long-term growth. With that, let me turn the call over to our CFO, Jennifer Li, for a deeper view of the financial results this quarter. Thank you.

JENNIFER LEE CFO and Head of International

Thank you, Tony. Hello, everyone. Before we dive into the financials, I want to highlight that all figures are in RMB. Comparisons are year-over-year, unless stated otherwise. And we will discuss non-IFRS measures today, which are more solely explained and reconciled to the most comparable measures reported in a company's earnings release and following this SEC and Hong Kong Stock Exchange. Now let's discuss our first quarter financial performance. We delivered total revenue of 114 million in the first quarter, representing an increase of 58%. Product revenue increased 116% to 20 million, mainly driven by increased deployment of Robotaxi and other L4 vehicles. Service revenue increased 49% to 94 million. This revenue growth mirrors the solid commercial progress we made in this quarter, together with our proven track record in execution and deployment. Considering the seasonal impact of Chinese New Year and Ramadan in Middle East, our business performance surpassed our original internal targets. Group-level gross profit increased 56% to $40 million in the first quarter, with a group-level gross margin of approximately 35%. we maintain top line expansion without sacrificing margin discipline and scoring the inherent profitability of our autonomous driving business at this further scale. This was also supported by the increased exposure of our ex-China markets, where we continue to see the structural stronger margin profile as we expand into new additional international territories. Operating expense were at $469 million, with R&D expense accounting for 77% of the total operating expense. Our operating expense are stable in absolute dollar amount compared to the same period in 2025. To break down further, R&D expense increased by 12% to $363 million in Q1, 2026. Excluding share based compensation, R&D expense grew 16% to This consistent investment in R&D underpins our technology roadmap and ensures we stay at the forefront of autonomous driving innovation. Administrative expense decreased by 33% to $83 million in the first quarter, excluding share-based compensation. Administrative expense decreased by 17% to $61 million. The decrease was primarily driven by lower professional services fee, mainly related to audit and legal compliance services, and partially offset by increased personnel costs for the expansion of our team as a for growing business. Selling expense increased by 63% to 23 million in Q1, 2026, excluding share based compensation. Selling expense increased by 81% to 22 million, The increase corresponding to ongoing expansion for our business and scoring our commitment to support growth appropriately. Our net loss kept stable at $369 million in the first quarter. On non-IFR phases, the net loss increased slightly by 11% to $326 million in the first quarter. The slight uptick was largely driven by ongoing R&D expanding as we continue to invest ahead of scale in our long-term technology leadership. As of March 31st, 2026, we had total capital reserve of 6.22 billion, comprising 6.18 billion in cash and cash equivalent and time deposits, 29 million in investment and wealth management products, and 18 million in restricted cash. We maintain short-term bank loans of $294 million to support daily operations. We have well positioned our capital base to match our cash deployment need. It has room to support ongoing growth and strategic initiatives. Under the U.S. dollar, a $100 million share repurchase program authorized by our Board of Directors on March 23, 2026. We have repurchased approximately 24.4 million Class A ordinary shares, including in the form of American depository shares, as of market close on May 12th, for a total consideration of approximately 61.4 million in U.S. dollar. This reflects our firm belief in company's long-term value and growth potential. Moving forward. We proceed with confidence and a well-defined focus. By end of 2026, we remain on track to deploy 2,600 robotaxis worldwide, marking the first milestone in our journey towards hundreds of thousands by 2030. As we continue to scale, our approach is to enter new regions and cities which have proven effective and replicable. Supported by strong technological leadership, operational know-how, and increasingly robust global rollout, we're prepared to lead the next phase of autonomous driving. With that, operator, we are now ready to take some questions.

OPERATOR Conference Call Operator

Thank you. We will now begin the question and answer session. As a reminder, we only accept questions in the English language lines. To ask a question, please dial into the English line and press star 11 on your telephone keypad. If you have any follow-on questions, please re-enter the queue. Thank you. Just a moment for our first question, please. First question comes from Stanley Wayne from Morgan Stanley. Please go ahead.

STANLEY WAYNE Analyst, Morgan Stanley

Thank you, Tony and Jennifer. This is Stanley from Morgan Stanley. I have two questions. So first one is on your robotaxi expansion. Are you on track to meet your expansion roadmap in 2026? And could you update us on the latest expansion progress in China, the Middle East and the rest of the world? And my second question is on WeRide's overseas business with the company's core advantage being its possession of overseas operating licenses in eight countries. And in light of the global expansion of players like Waymo and Zoox, and also the accelerating regulatory approvals, how do you view the key growth drivers, profitability path, and timeline for tangible contributions from your overseas operations in 2026 to 2027? Thank you.

DR. TONY HAN Founder, Chairman and CEO

Okay, so I will take the first question, and then I will let Jennifer to answer the second question about profitability. Okay, so first question is about whether we are on track with our robo tax expansion. I think overall we are very optimistic and confident in our global robo tax expansion and we have been making the steady progress all the time. I will share some numbers I have already told to the market that is At the end of April, our global robo-taxi fleet reached approximately 1,300 vehicles. That is, to my best knowledge, one of the biggest robo-taxi fleets globally. In China, our robo-taxi fleet has grown to approximately 1,000 vehicles with solid demand, healthy daily order volume, and a growing user base. And I want to share you a number. Our average daily order per vehicle exceeded 17 trips during the first quarter. That is an amazing number. And our oversea robot taxi fleet has expanded to approximately 300 vehicles across multiple markets. In the Middle East, we recently launched a full driverless commercial operation in Dubai and Uber platform. Today, if you really want to hail a full driverless robot taxi, to my best knowledge, I look at all our competitors. Outside of U.S. and China, if you want to hail a full driverless robo-taxi, the only way is through Uber, we ride robo-taxi in Abu Dhabi or Dubai. That's our current stage. I know regional tensions create some short-term softness in utilization, but we remain very confident. More important, we remain firmly committed to the Middle East and our long-term investment and operational presence are well received by local governments. We remain on track toward our commitment to deploy 1,200 vehicles across Dubai, Abu Dhabi, Riyadh as additional driverless ODD to be added. In Europe, We are expanding our footprint. In Switzerland, we obtained regional's first driverless commercial permit and continue progressing toward public operations in Zurich. We also recently launched our national autonomous driving program in Slovakia, making our entry into another new European market. More broadly, we believe V-Ride has established a meaningful advantage first mover advantage through years of global expansion and overall i think this global operation and regulatory footprint is becoming an increasing important differentiator as uh autonomous driving commercialization accelerates worldwide so that's overall conclude my answer to your question our global roadmap and our plan Okay, about profitability, would you pick up the question, Jennifer?

JENNIFER LEE CFO and Head of International

Yeah, I'll answer the second one. Yeah, so just now Stanley also mentioned the VRES core advantage is having operating license in eight countries. Actually, now comparing the total number of Robotechs deployed, and driverless permit hold by any autonomous vehicle, autonomous driving company outside China and the US, V-Ride ranks first across, among all the different companies, for companies. We are very encouraged by the momentum of our international expansion so far. And as we can recall from the last earning release, International revenue already accounts for approximately one-third of the total group revenue last year, and our Middle East subsidiary was already profitable at the net level. And also, Tony just discussed, just already talked through our key developments in some of the regions of China this year, and we will We will announce some more exciting announcements in RoboTaxi deployment in due course. So this year we expect international revenue to grow even faster and contribute an even larger share of group revenue supported by the positive unit economics. And maybe I would like to just to also to elaborate a little bit more about our city selection criteria here. Now people always ask us, you know, you guys already have like presence in like 40 cities. So do you still want to expand to more cities or focusing on the current ones? So our strategy is to focusing on scale in existing city as well as interning additional cities under a more selective criteria. So we really need to, we really consider whether the market has the potential to support scalable and commercially attractive operations over long term. And especially on the monetization potential side, we pay close attention to the overall growth booking opportunities, as well as the growth bookings per mile. because both scale and unit price matter significantly for long-term robo taxi unit economics. And besides, we focus heavily on whether there is a realistic path to scale. For all the cities we are currently deploying, we do see potentials for each city to deploy thousands of autonomous driving vehicles. And something more to mention here, Europe remains to be a key focus for us this year. We will share our exciting news in more deployment in more cities in Europe hopefully soon. Yes, that concludes my answer for this question.

OPERATOR Conference Call Operator

Thank you. Just a moment for our next question, please. Next, we have Ming Sun Li from Bank of America. Please go ahead.

MING SUN LI Analyst, Bank of America

Hi, Tony and Jennifer. Thank you for giving me the opportunity to raise the question. I also have two questions. So the first one, how do the recent report about China holding a new self-driving approvals to impact we ride? And a second question, it's about the technology difference. So I think since the past, there has been a consistent and industry-wide debate over the LiDAR and the HDMAP approach that Wemo adopts and the camera-only solution by TESA. What is that we rise to? Thank you.

DR. TONY HAN Founder, Chairman and CEO

I think I will take them one by one. Okay. I did take some notes. So let's see. The first question, you know, I think everybody have already realized the recent halt about the recent halting about the new self-driving approvals. You know, we all noticed, you know, this kind of accidents of Baidu in Wuhan. And we have seen reports So first of all, our view is that we view this as more of a short-term regulatory adjustment rather than structural change to the industry. Because from our discussion with the central government and local government and through this kind of communication and careful investigation, first of all, WeRide, if you check our record, WeRide has a very good safety and operational record, and both central government and local government just gave us very strong support. And through our discussion, we were assured that the central government and local government's support to the autonomous driving remains very, very strong. That is what we have learned, and we talked with the local regulators, legislators, and officials. This remains very supportive. It is a short-term adjustment. They're basically halting the new approvals for the added autonomous driving vehicles, but current autonomous driving vehicles remain actively operational for VRI. and our orders are increasing, as I have already mentioned to you. And as autonomous driving moves from early pilots towards larger-scale commercialization, I think it is natural for regulators to place great focus on safety, and we really think this is a very responsible attitude. We actually think this is definitely a very responsible action, and we fully support this. From our perspective, this is ultimately positive for the long-term development for the industry. A company with a very good safety record should be rewarded. A company with a low safety record should be punished. That is definitely, I think, just think about airlines. It's the same results, right? the airlines with good safety record remain in the market. An airline without a good safety record kind of got eliminated. And we do suggest the regulatory framework should favor companies with proven technology, operational experience, and a strong safety record. We also expect regulation over time to become more differentiated based on factors such as safety performance, operational track record and technical capability. For WeRise specifically, we remain confident because we have accumulated meaningful real-world operational experience both in China and internationally. Just two numbers, right? We operate and test across more than 40 cities in 12 countries. Who else has achieved such number? Overall, we view this as a necessary step for the industry and believe it will ultimately lead to a more sustainable, competitive landscape. I don't want a kind of company with a lousy safety record to ramp around in the market. It's not safe to the public, not safe to our community. So we are very confident that company with very good safety record like V-Ride have a higher motor and V-Ride will continue as a leading player, first mover to keep our very good safety record and keep our reliable operation. We try every effort we possibly can to maintain this very good record. Second question, because my answer is a little bit lengthy, sorry about that. for the first question. The second question is that just want to remind everybody, a question is about actually, it's a long-term debate that is LIDAR versus HDMAP and the approach from Waymo versus Tesla. So my view is simple. I spent many years in Missouri, more than 12 years. Missouri has been long called a show me state. To me, I don't want to argue about approach. I want to see the results. For L4 level robotaxi, today I think everybody have already seen that we multiplied thousands of robotaxi and safely operated in many cities in the United States. There are all kinds of claimers, but I just want to say for L4 level robotaxis, the driverless autonomous driving vehicle. And safety is very important. If we can use HDMAP as an actual layer of the information, why not? We have long adopted multi-sensor, redundancy-oriented technology paths. We believe that camera and the LIDAR combining together build a strong, robust autonomous driving system. And this approach actually is broadly aligned with the direction adopted by leading global robo-taxi players like Waymo. At the same time, we are closely watching the progress of vision-only based on the MyPlat approach, including Tesla's recent approach. I have to say, FSD 14.3 makes very good progress, and we admire Tesla's achievement. However, it is still not robo-taxi, not driverless. And but we took a similar approach, as I mentioned at the opening remarks right our our Ada system, based on one stage and to end world model. has achieved for consecutive championships in China, basically, we beat all other Ada system solutions, I think the only only competitor, we have we haven't. have a direct face-to-face matching that is Tesla FSD 14.3. And we look forward, as I mentioned, we look forward to a head-to-head comparison and give our consumers the best experience. So with that said, I just want to emphasize, we are very, very aware of the advantage of camera-only solution based on foundation model and the world model. And we are pretty good at it. That's why I think I'm currently the best suitable CEO to answer this question. And we really consider about very complicated traffic scenarios in cities like Madrid in Europe. We have already spent lots of time to solving all possible corner cases in Madrid because we have to be prepared to deploy a busy city in a busy European city like Madrid. Historically, cities like Zurich and Madrid would require significant localization and testing resources. But with our genesis model, we believe we can really combine the HMAP approach with the map-like version. So one of WeWrite's strengths is flexibility across different architectures. And we can make a perfect marriage between this HDMAP LiDAR base with camera solution and map light solution. But overall, I just want to emphasize to have a reliable and safe robot taxi deployment at current stage, we need to really rely on HDMAP. Gradually, we may use map-light approach to accommodate emergency road construction and map change, and we can keep the freshness of map. But overall, we have to cherry-pick the advantage of camera solution, map-light solution based on world model like Tesla's approach into our system. That's our approach. I think currently only company are capable of doing this in the world as we write because our ADAS programs and because our L4-level deployment operational experience. Okay, that concludes my answer. Thank you.

MING SUN LI Analyst, Bank of America

Thank you, Tony. That's all my questions.

DR. TONY HAN Founder, Chairman and CEO

Thank you.

OPERATOR Conference Call Operator

Thank you. Next, we have Patty Hu from Hontai Securities. Please go ahead.

PATTY HU Analyst, Hontai Securities

Hello, Tony and Jennifer. Yeah, thank you for taking my question. So, yeah, I got two questions for you guys. So, first of all, we are seeing more and more Level 2 companies announcing plans to enter Level 4 market. So, what's your view on this? And then also, can you give us more details on multi-chip platform compatibility for Level 2? And I understand that this chip's... So, how do you achieve this chip's diversity in this

DR. TONY HAN Founder, Chairman and CEO

Okay. So thanks. Thank you for these two questions. I think these questions are more like technical questions. So I'll answer both questions. Okay. So first question is about like, overview about like, the so called L2 company or ADAS company, although they themselves don't want to call them themselves as L2 company plans to enter L4 market. What's our view? So to us, currently, I still want to emphasize there's only one company, to my best knowledge, doing L4-level robotaxi at the same time doing L2++ ADA system. I have some standards. For a company, you claim yourself as a robotaxi company or L4-level autonomous driving vehicle company. You have to have a robotaxi fleet of 100 driverless Robotext fleet open to public operates for more than half a year and without any significant or serious accidents. So I'm sorry, may I remind like the listeners, if you are not speaking, please mute your mic because I hear some background noise. So please mute your noise if you are not speaking. Okay. So I... So for L4 level company, you have to have a fleet of 100 vehicles open to public operate for half a year, and then you can call yourself a robot taxi company. For ADAS company, you have to deploy your system to mass production car. Previously, I would say, Three years ago, or four years ago, we, right, although have some ADA solution in our lab, but we cannot call ourselves an ADA company because we haven't deployed our system to mass production cars. But now we can because we have deployed our ADA system to more than close to 30 types of vehicles and several of them are selling by tens of thousands every month. So now we know the difference. I believe with all of this said, I believe there's still a significant gap between advanced driver assistance system, i.e. ADA system and a true L4 robot taxi driverless system. The challenge is fundamentally about system robustness, operation capability, and scalability. So there are some numbers I want to share with you. So usually, most of the ADA system today, according to our test, mile per critical intervention, if you marry in kilometers, although it's called MPCI, mile per critical intervention, Lots of competitors in China, they aim to reach 1,000 kilometers of MPCI. But I want to show you a number that for L4-level autonomous driving, you can see numbers from Weibo and from Waymo. And the mileage per critical intersection is at above 1 million kilometers level. So there is a three magnitude difference. So although some companies claim they can boost their MPCI by a factor of 10 every year, that's still three years away. But let me tell you, like you boost your MPCI 10 times every year is a formidable task, mission impossible, because if some company can do that, then, you know, WeRide, Waymo, so many good companies start start autonomous driving in the year of 2017. Within seven years, think about the MTCI. So basically, all I'm saying is you really need to operate for half a year before you know the difficulties about L4. So it's great to have an ambitious goal, but always you need to really try to achieve your ambitious goals through a concrete path. And the concrete path is the key. And from our past experience, it takes many years to really make your fleet available and reliable for driverless operation. So I have a golden test rule that is, make a driverless fleet of at least 100 cars, make it available to the market, operate for half a year, and see what happens. And I don't want to see some tragedy names. You see some companies actually quit the market because of some accidents. You all know the names, so I don't want to mention them anymore. Second question is about our multi-chip platform. That is actually something I'd love to answer. I think the key source, the secret source is our Genesys model. Our Genesys model creates an AI model that can trim to different a chipset of different complexity. And so far, we have already rolled out our system based on NVIDIA's SOARx, dual SOARx, ORinX, ORinY system. And also, we rolled out our system GAC-N60 based on Qualcomm 8650. and we are going to roll out a system based on CyGene, on CyEngine's chipset. So basically, we believe with our current genesis-based approach, we build up world model and we can really support different platforms. And this gives us a great competitive advantage. And again, to my best knowledge, we haven't seen any other company can support such a wide spectrum of chips that at the same time make them available for either solution as well as for RoboTaxi solution. Okay, that's my answer to these two questions. Thank you.

OPERATOR Conference Call Operator

Thank you. Just a moment for our next question, please. Next, we have Kai Xiao from CICC. Please go ahead.

KAI XIAO Analyst, CICC

Thank you, Tony and Jennifer. This is Kai from CSCC. So I also have a question on the multi-chip platform strategy you mentioned. Can you share why is this strategy important for your L2++ ADAS business? Thank you.

DR. TONY HAN Founder, Chairman and CEO

OK. So basically, the main reason is different OEMs have different hardware preference. Some OEMs, they want extremely cost-effective chipsets. Some OEMs want very high-top computational platform, and they have different supply chain requirements. Basically, a flexible multi-chip architecture allows us to support a broad range of vehicle platforms without a redesigning system every time. But the secret sauce is really our Genesys model because Genesys model can help us to tune a spectrum of onboard AI model which accommodates different TOPS requirements like 8650-200 TOPS, SOAR-U 700 TOPS, SOAX 1000 TOPS, ORAX 250 TOPS. So we have to be able to adjust. More importantly, multi-chip vendor flexibility enables faster mass production and great cost optimization. Different chip platforms offer different cost and supply chain advantages. And so that one, you know, if a company, if Ada's company or autonomous driving software company can apply a spectrum of solutions based on the different chipsets, the car OEM tends to work with you more closely. And we believe this flexibility also help us secure more production, more vehicle types. And we also look forward to deploy all these systems for the over for the abroad market. One thing I want to bring all the investors' attention to is that this year, you see the export of Chinese automobile products to the rest of the world. It's actually growing. But most of them don't have a very good ADA system. And we actually have already secured modern Thai vehicle models to supply aid assistance for them. So maybe next year you will see some oversea models. You can maybe drive a car with V-Ride aid assistance in Mideast Asia, Southeast Asia, in some countries, and even in Europe. Please stay tuned. Thank you.

PATTY HU Analyst, Hontai Securities

Thank you.

OPERATOR Conference Call Operator

Just a moment for our next question, please. Next, we have from UBS. Please go ahead.

UNKNOWN Analyst, UBS

Hi. Thank you for taking my question. I have one question about the strategic balance and prioritization between China and international business. As we know, as Tony mentioned, there has been news about tightening scrutiny for autonomous driving permits domestically. and V-Ride has been making steady advancement in international markets with better UE. Could management please share your thoughts on the balance and priority of domestic and overseas operation lately? Thank you.

JENNIFER LEE CFO and Head of International

Okay, I'll take your question. So we see both China and international markets as strategically important for V-Ride. In, of course, a near to medium term, certain international market offers a clearer and faster path to commercially attractive robo-taxy economics, thanks to the favorable pricing, partnership, and friendly, like favorable regulations. And demonstrating sustainable profitability early on is critical for our industry. where healthy cash flow enables self-sustained growth. And in local market, that's actually very important. We see it's very important to get into this, we call it the massive effect type of like self-sustained growth. So we started building a significant international mode starting in 2021 ahead of most of the peers. And we have since then gained like a very hard to replicate expertise in global deployment, in regulation, localization, home location, and fleet operation. And meanwhile, China remains to be a key long-term market due to the size, the ecosystem, the infrastructure, and after all, it's our home. And we continue to maintain a very strong presence here as well. So overall, we see a powerful flywheel effect at this scale across more cities in more countries. And we have more data and more validation to improve the performance and also to improve the regulatory trust. So it's accelerating the permits, audit expansion, and commercialization. So both are very important for us. So, of course, we are very pleased to say we see a huge potential that international revenue will grow rapidly this year, and we are very on track to achieve our all-year revenue target this year. Thank you.

OPERATOR Conference Call Operator

Thank you. Next, we have from Sato Securities. Please go ahead.

TIANYU Analyst, CTF Securities

Hi, Tonya and Jennifer. This is Tianyu from CTF Securities. And I have two questions. The first one is, what's Uber's current shareholding? And how should investors think about the relationship between WeWrite and Uber? And secondly, could you share your go-to-market model across different markets? Thank you very much.

JENNIFER LEE CFO and Head of International

All right. Thank you, Tianyu. So Uber holds more than 5%. Uber is a strategic shareholder and a key partner for VWrite. So based on their latest public filing, they hold over 5% of the right, which we view as a strong endorsement of the right technology and our solid deployment and commercialization strategy. So operationally, we're already deploying this Uber in more cities outside the U.S. than any of the AV players out there. So, which reflects both, you know, the depth of our relationship and our ability to execute at scale. So, we expect we will expand, there's like echo song, can someone, can you mute? Okay, thank you. Yeah, we expect to expand to, there's still echo. Yeah, okay. Yeah, we will enter into more cities over this year, and we remain to be a trusted partner as they build their global strategy. Of course, at the same time, our go-to-market approach is diversified. We work with partners that fit each other in each market. And in China, we offered we offered our own app and to build a brand awareness and operational capabilities. You can get our robot taxi on the right goal and you can also get it from the a map and then also the the 10th and many program in Southeast Asia with partner this grab. And in Europe, we collaborate with local platforms, operators, and PTOs, including SBB in Zurich, TPG in Geneva, and Adavit in Slovakia, et cetera. So all of this will accelerate our deployment and the permitting process. Yeah, so overall, we see strong alignment with a platform like Uber in scaling our robot taxi globally. And of course, we continue to take flexible approach in working with multiple platforms to ensure that we execute very effectively across different markets. Thank you. And the second one, the other one is our asset light business model for Robotexy. Yeah, I think the time is running out. I'll just be short. I'll try to be quick. So outside China, we already implement as a light business model in all markets. It's a mature and proven structure for V-Ride. I'll just give you an example. In some cases, Robotechs are purchased by the ride-hailing platform or local consumers. In some other cases, they're owned by third-party fleet owners. We have already executed in both models successfully. So the SLA model means like we will focus on providing the tag and operation while leveraging the local capital to scale more efficiently. And in China right now, the priority is to continue improving the economic and of course, operational efficiency with a larger ODD so that the revenue share will become sizable enough for it to become appealing to third party as an owner to participate. So over long-term, we also expect China to move into the same direction. As utilization continues to strengthen, the model should naturally transition towards more SLI structure. Thank you, Kanyi.

OPERATOR Conference Call Operator

Thank you. Our last question comes from Mei Lu from HSBC. Please go ahead.

MEI LU Analyst, HSBC

Hi, thanks, management, for taking my question. This is Mai from HSBC. So I only have one question. So what's the trajectory for robotaxi vehicle cost reduction? Thanks.

JENNIFER LEE CFO and Head of International

OK, I'll take this one. Thank you, Mai. So cost reduction, of course, always remain to be one of our key focus area. And we continue to see meaningful progress. There are three main drivers. The first one is the hardware and the system integration. So with our latest platform and our purpose-built vehicle like GXR, we are moving towards like the pre-integrated and very standard solution. And every year the bump costs continue to drop. And the second is scale and supply chain optimization. As now we are moving to like a few thousand unit deployment, as we can see, we are able to do better cost efficiency across different components and manufacturing. And the last one is on the operational efficiency. We already see that there's a strong efficiency improvement as fleet scales and utilization increase. For example, in last quarter, we already announced that our remote safety officer ratio has already improved to 1 to 40 from previously as a 1 to 10 to 1 to 20. Now it's already 1 to 40. And internationally, we are following the same trend, but now, of course, it's not 1 to 40 yet, but we're moving into the same direction. So we believe all of this are very important because remote operation efficiency It's a very meaningful – has a very meaningful impact over per vehicle TCO and overall unit – on the overall unit economic. Yeah. So additionally when we enter some new market there might be some upfront like homologation and localization cost which sometimes temporarily increase the per vehicle cost in early stage. However, as deployment scales within each market, those costs are amortized, and the overall impact will become very limited and manageable. So, yeah, so this is a cost reduction as a combination of hardware as well as operational efficiency. Yeah. Thank you, Mei.

OPERATOR Conference Call Operator

Thank you. Due to time restraints, I will conclude the call today. Thank you for participation in today's conference. This concludes the program. You may now disconnect.